HOWDEN JOINERY CORPORATE SERVICES LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 24 DECEMBER 2011

REGISTERED NUMBER: 01767386

E0ZIKO6D
EDX 21 03 12 #1117
COMPANIES HOUSE

HOWDEN JOINERY CORPORATE SERVICES LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their annual report and the audited financial statements of the Company for the 52 weeks to 24 December 2011 *(2010 52 weeks to 25 Dec 2010)*

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The Company is a wholly owned subsidiary of Howden Joinery Group Plc The company's principal activities are providing various corporate and Information Technology services to other member companies of the Howden Joinery Group Plc group ("the Group") The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year

The loss for the financial period as shown in the profit and loss account amounted to a loss of £4,694,000, after an exceptional charge of £4,221,000 relating to discontinuing operations *(2010 loss of £3,118,000 with no exceptional items or discontinued operations)* The directors recommend that no dividend be paid *(2010 nil)* The directors are satisfied with the progress of the business

The balance sheet shows the Company's financial position at the end of the period Details of amounts owed to the parent company are shown in note 11

The Group manages its operations on a Group basis For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business The performance of the Group, which includes this Company, is discussed in the Group's Annual Report which is available at http //www howdenjoinerygroupplc com and which does not form part of this Report

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the Group's activities The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report

FINANCE RISKS AND OTHER PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by an interest-free loan from its ultimate parent company The Company has no third-party debt, and therefore no interest rate exposure As such, the Company's financial risk management objectives and policies are those of the Howden Joinery Group Plc Group, which are contained in the Group's Annual Report, which does not form part of this Report

The Company has no other significant risks and uncertainties, other than those risks that it shares with the Howden Joinery Group Plc Group, given that the Company's principal activities are providing various services to other Howden Joinery Group Plc Group companies The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

GOING CONCERN

After making enquiries and taking into consideration the profitability and financial position of the company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future based on a written commitment of financial support from its ultimate parent company, Howden Joinery Group Plc, which is legally binding For this reason the directors continue to adopt the going concern basis in preparing the financial statements

EMPLOYEES

Details of the number of employees and related costs can be found in note 4 to the financial statements

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned In the event of members of staff becoming disabled every effort is made to ensure that their employment with the Company continues and that appropriate training is arranged It is the policy of the Company that the training, career development, and promotion of disabled persons should, as far as possible, be identical with that of other employees

The Company participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings Employee representatives are consulted regularly on a wide range of matters affecting their interests

DIRECTORS

The directors of the Company who served throughout the period, except as noted were

M Ingle
J McManus
M Robson

SUPPLIER PAYMENT POLICY

It is the Company's policy, in relation to all its suppliers, to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with agreed terms and conditions The Company does not follow any code or standard on payment practice, but it is the Company's policy to pay all its suppliers within 30 days of the end of the month in which it receives the invoice

The Company pays trade creditors on behalf of both itself and other group companies The number of days purchases outstanding for payment when taking into account the payments both for this company and for other group companies at the period end was 49 days *(2010 49 days)*

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company made no charitable or political donations during the current or previous period

AUDITOR

Each of the persons who is a director at the date of approval of this annual report confirms that

- so far as the director is aware, there is no relevant audit information of which the company's auditor is unaware,
- the director has taken all the steps he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the company's auditor is aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006

Deloitte LLP have indicated their willingness to be reappointed for another term and appropriate arrangements have been put in place for them to be deemed reappointed as auditor in the absence of an Annual General Meeting

REGISTERED OFFICE

The Company's registered office is International House, First Floor, 66 Chiltern Street, London, W1U 4JT

STATEMENT OF DIRECTORS' RESPONSIBILITIES

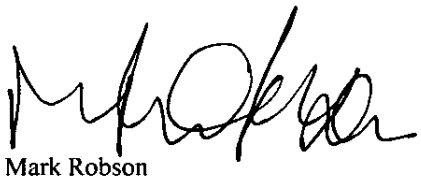
The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law, the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgments and estimates that are reasonable and prudent,
- state whether applicable accounting standards have been followed, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping adequate accounting records, which are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 2006 They are also responsible for safeguarding the assets of the company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities

By Order of the Board



Mark Robson
12 March 2012

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HOWDEN JOINERY CORPORATE SERVICES LTD

We have audited the financial statements of Howden Joinery Corporate Services Limited for the year ended 24 December 2011 which comprise the Profit and Loss Account, the Balance Sheet and the related notes 1 to 19 The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice)

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006 Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditor
As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland) Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors

Scope of the audit of the financial statements
An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error This includes an assessment of whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the directors, and the overall presentation of the financial statements In addition, we read all the financial and non-financial information in the annual report to identify material inconsistencies with the audited financial statements If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report

Opinion on financial statements
In our opinion the financial statements

- give a true and fair view of the state of the company's affairs as at 24 December 2011 and of its loss for the year then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006

Opinion on other matter prescribed by the Companies Act 2006
In our opinion the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements

Matters on which we are required to report by exception
We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit

John Adam - Senior statutory auditor
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditor
London, UK
14 March 2012

HOWDEN JOINERY CORPORATE SERVICES LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 24 DECEMBER 2011

		52 weeks to 24 December 2011			52 weeks to 25 December 2010
	Notes	Before Exceptional Items £'000	Exceptional Items (note 3) £'000	Total £'000	Total £'000
Turnover:					
Continuing operations		**36,830**	-	**36,830**	33,220
Selling and administrative costs (continuing)		**(35,095)**	-	**(35,095)**	(35,040)
Selling and administrative costs (discontinued)		-	**(4,517)**	**(4,517)**	-
Operating profit/(loss):					
Continuing operations		**1,735**	-	**1,735**	(1,820)
Discontinued operations		-	**(4,517)**	**(4,517)**	-
(Loss)/profit on disposal of fixed assets		**(12)**	-	**(12)**	39
Loss on ordinary activities before finance charges		**1,723**	**(4,517)**	**(2,794)**	(1,781)
Interest payable and similar charges	6	**(1)**	-	**(1)**	(30)
Loss on ordinary activities before taxation		**1,722**	**(4,517)**	**(2,795)**	(1,811)
Tax (charge)/credit on loss on ordinary activities	7	**(2,195)**	**296**	**(1,899)**	(1,307)
Loss for the financial period		**(473)**	**(4,221)**	**(4,694)**	(3,118)

There were no exceptional items in 2010 There are no recognised gains or losses in the current or preceding financial periods other than as stated in the profit and loss account and therefore no statement of recognised gains and losses has been presented

HOWDEN JOINERY CORPORATE SERVICES LIMITED
BALANCE SHEET AT 24 DECEMBER 2011

	Notes	24 December 2011 £000	24 December 2011 £000	25 December 2010 £000	25 December 2010 £000
Fixed assets					
Tangible assets	8		**8,775**		8,895
Investments	9		**47,838**		48,399
			56,613		57,294
Current assets					
Debtors	10	**661,151**		565,919	
Cash at bank and in hand		**2**		4,095	
		661,153		570,014	
Creditors : amounts falling due within one year	11	**(739,254)**		(643,309)	
Net current liabilities			**(78,101)**		(73,295)
Total assets less current liabilities			**(21,488)**		(16,001)
Creditors : amounts falling due after more than one year					
Provisions for liabilities and charges	12		**(13,726)**		(15,691)
Net liabilities			**(35,214)**		(31,692)
Capital and reserves					
Share capital	14		**12,358**		12,358
Profit and loss account	15		**(343,619)**		(338,925)
Capital contribution reserve	15		**280,315**		280,315
Shared based payment reserve	15		**15,732**		14,560
Shareholders' deficit			**(35,214)**		(31,692)

Approved by the Board of Directors and signed on their behalf by

Mark Robson
Director
12 March 2012

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and the preceding periods

BASIS OF PREPARATION

The financial statements have been prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards

The financial statements have also been prepared on a going concern basis as discussed in the Directors' report on page 1

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Howden Joinery Group Plc

The financial statements include the results for the 52 week period ended 24 December 2011 *(2010 52 weeks to 25 December)*, being the Saturday nearest to the Company's accounting reference date of 31 December

TURNOVER

Turnover represents the gross recharges of various corporate and Information Technology services to other Group companies Revenue is recognised on the provision of qualifying services

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation or provision for impairment Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows

Plant and machinery, fixtures and fittings	10% - 25% p a
Motor vehicles	20% - 25% p a
Leasehold properties	Over life of lease

Assets under the course of construction are not depreciated until such time as the asset is available for use

INVESTMENTS

Investments represent shares in the ultimate parent which are shares held by employee share ownership trusts, and are recorded at cost, including expenses, less amounts written off Amounts written off these shares are calculated so as to charge the cost of the shares to profit and loss over the vesting period of the underlying share options or awards

TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered, using tax rules and laws that have been enacted or substantively enacted by the balance sheet date

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date Except where otherwise required by Accounting Standards no timing differences are recognised in respect of

(a) property revaluation surpluses where there is no commitment to sell the asset,
(b) gains on sale of assets where those assets have been rolled over into replacement assets, and
(c) additional tax which would arise if profits of overseas subsidiaries were distributed, and deferred tax assets to the extent that they are regarded as not likely to be recovered

A net deferred tax asset is regarded as recoverable and therefore recognised only to the extent that, on the basis of all available evidence, it can be regarded as more likely than not that there will be suitable taxable profits from which the future reversal of the underlying timing differences can be deducted

Deferred tax is measured at the average tax rates that are expected to apply in the periods in which the timing differences are expected to reverse, based on tax rates and laws that have been enacted or substantively enacted by the balance sheet date

1. ACCOUNTING POLICIES (Cont'd)

FOREIGN CURRENCY

Transactions denominated in foreign currencies are translated into sterling and recorded at the rate of exchange ruling at the date of the transaction

Monetary assets and liabilities denominated in foreign currencies are translated into sterling at rates ruling at the balance sheet date Foreign exchange profits and losses arising during the period are included in loss on ordinary activities before taxation

LEASED ASSETS

Leases are classified as finance leases when the terms of the lease transfer substantially all the risks and rewards of ownership to the Company All other leases are classified as operating leases For property leases, the land and building elements are treated separately to determine the appropriate lease classification

Finance leases

Assets funded through finance leases are capitalised as property plant and equipment, and depreciated over their estimated useful lives or the lease term, whichever is shorter The amount capitalised is the lower of the fair value of the asset or the present value of the minimum lease payments during the lease term at the inception of the lease The resulting lease obligations are included in liabilities net of finance charges Finance costs on finance leases are charged directly to the Profit & Loss Account

Operating leases

Assets leased under operating leases are not recorded on the balance sheet Rental payments are charged directly to the Profit & Loss Account

Lease incentives

Lease incentives primarily include up-front cash payments or rent-free periods Lease incentives are capitalised and spread over the period of the lease term

Leases with predetermined fixed rental increases

The Company has a number of leases with predetermined fixed rental increases These rental increases are accounted for on a straight-line basis over the period of the lease term

PENSIONS

i) Defined benefit pension schemes

The Company participates in its parent company's Howden Joinery Group Plc group retirement benefit scheme This is a defined benefit arrangement, operating through a multi-employer defined-benefit scheme The assets and liabilities of the scheme are held separately from those of the HJG Plc The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it were a defined contribution scheme This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes

ii) Defined contribution pension schemes

The HJG Plc operates a defined contribution scheme for its employees For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet

1 ACCOUNTING POLICIES (cont'd)

SHARE-BASED PAYMENTS

FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Howden Joinery Group Plc Equity-settled share-based payments are measured at fair value at the date of grant The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest

Fair value is measured by use of a binomial model or a Black-Scholes model, according to the relative complexity of the type of share-based payment to be measured The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations

2 LOSS ON ORDINARY ACTIVITIES BEFORE TAXATION

Loss on ordinary activities before taxation is stated after charging

	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
Depreciation and other amounts written off fixed assets		
- owned assets	**2,493**	2,333
- finance leases	**1,114**	1,040
Hire of plant and machinery – operating lease rentals	**334**	278
Rent payable on property	**10,198**	11,306

The analysis of auditor's remuneration is as follows

	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
Fees payable to the Company's auditor for the audit of the Company's annual accounts	**25**	25
Total audit fees	**25**	25
Tax services	**55**	26
Total non-audit fees	**55**	26

3. EXCEPTIONAL ITEMS

Exceptional items charged to the income statement in the 52 week to 24 December 2011 are analysed as follows

Discontinued operations:	**£000**
Increase in property provision for future rent payable on vacated sites	4,517
Total exceptional items before tax	**4,517**
Tax credit on exceptional item	(296)
Net exceptional items	**4,221**

The increase in the property provision in the year relates to future rent, rates and surrender fees and associated costs in respect of legacy properties The original provision was created as a discontinued exceptional item There were no exceptional items charged to the income statement in the 52 weeks to 25 December 2010

4. STAFF NUMBERS AND COSTS

The average number of persons (excluding directors) employed by the Company during the period was

	24 Dec 2011	25 Dec 2010
	No.	No
Management and administration	31	31
	31	31

The aggregate payroll costs of these persons were as follows	£000	£000
Wages and salaries	1,747	1,829
Social security costs	231	202
Other pension costs	15,754	11,601
	17,732	13,632

'Other pension costs' represents the cash paid by the Company into the defined benefit and defined contribution schemes The payment also covers ex-employees who are not included in the employee number disclosed above

5. REMUNERATION OF DIRECTORS

The emoluments of the directors were as follows

	52 weeks to 24 December 2011 £000	52 weeks to 25 December 2010 £000
Directors' emoluments	2,793	2,679
Pension costs	31	79
	2,824	2,758

The aggregate emoluments of the highest paid director in the 52 weeks to 24 December 2011 were £1,457,000 (*52 weeks to 25 December 2010 £1,398,000)*

Based on normal retirement age the accrued pension of the highest paid director, should he leave employment at the end of the financial year, is £44,800 (*2010 £42,600)*

6. INTEREST PAYABLE AND SIMILAR CHARGES

Interest payable	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
Other interest	(1)	-
Interest charge on finance lease payments	-	(30)
	(1)	(30)

7. TAX ON LOSS ON ORDINARY ACTIVITIES

	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
UK Corporation tax – current tax	**95**	(1,374)
Adjustment for prior periods	**(2,602)**	(484)
Current tax (credit)	**(2,507)**	(1,858)
Deferred tax – current year	**1,183**	2,388
Deferred tax – adjustments in respect of prior years	**3,223**	777
Deferred tax charge	**4,406**	3,165
Tax charge on profit on ordinary activities	**1,899**	1,307

There is no unprovided tax at period end

Factors affecting current period corporation tax

The current period corporation tax credit is different to the standard rate of corporation tax in the UK of 26 5% *(2010 28 0%)*for the following reasons

	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
Loss on ordinary activities before taxation for the period	**(2,795)**	(1,811)
Loss on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 26 5% *(2010 28 0%)*	**(741)**	(507)
Effects of		
Expenses not deductible for tax purposes	**1,044**	147
Depreciation in excess of capital allowances	**(475)**	(636)
Movement in short-term timing differences	**32**	(196)
Tax deductions on share exercises	**(71)**	(293)
Share Based Payments	**311**	120
Loss on disposal of fixed assets	**(5)**	(9)
Prior year adjustment	**(2,602)**	(484)
Current tax credit for the period	**(2,507)**	(1,858)

8. TANGIBLE FIXED ASSETS

	Leasehold Properties under 50 years £000	Plant and machinery £000	Fixtures and fittings £000	Assets in the course of construction £000	Total £000
Cost					
At 25 December 2010	8,875	80,947	4,682	242	94,746
Transfers	13	222	-	(235)	-
Additions	53	3,307	25	145	3,530
Disposals	(25)	(43)	-	-	(68)
At 24 December 2011	**8,916**	**84,433**	**4,707**	**152**	**98,208**
Depreciation					
At 25 December 2010	4,540	76,665	4,646	-	85,851
Charge for the period	646	2,950	11	-	3,607
Disposals	(9)	(16)	-	-	(25)
At 24 December 2011	**5,177**	**79,599**	**4,657**	**-**	**89,433**
Net book value					
At 24 December 2011	**3,739**	**4,834**	**50**	**152**	**8,775**
At 25 December 2010	4,335	4,282	36	242	8,895

Analysis of assets held under finance leases	**24 December 2011 Plant,machinery £000**	25 December 2010 Plant, machinery £000
Cost	**3,600**	3,600
Accumulated depreciation	**(3,600)**	(2,486)
Net book value	**-**	1,114

9. INVESTMENTS

Cost	Investment in ESOT* £000
At 25 December 2010	48,399
Disposals	(561)
At 24 December 2011	**47,838**
Net book value	
At 25 December 2010	48,399
At 24 December 2011	**47,838**

*ESOT is the employee share ownership trust

9. INVESTMENTS (continued)

Employee Share Schemes
The Company maintains three employee share ownership trusts, which hold shares in Howden Joinery Group Plc (formerly Galiform Plc) These are summarised as follows

	Shareholding (No of shares)	Value on 24 Dec 2011 £000	Dividends waived
Howden Joinery Employee Share Trust	24,585,390	24,512	n/a
Free Share Trust	796,834	794	n/a
Nominee Accounts	2,468,686	2,461	n/a

As at 24 December 2011, 81% of the above shares were allocated to existing options awards *(2010 62%)* The trusts have been funded by the employing companies in the Group to acquire shares in Howden Joinery Group Plc The cost of running these trusts is included in the profit and loss account The Trusts undertake the following activities

Howden Joinery Employee Share Trust
to transfer shares to executive directors when shares vest under various share option and long term investment plans

Free Share Trust
to transfer shares to employees when shares vest under the Freeshare Plan

Nominee Accounts
to hold restricted shares for individual employees

10. DEBTORS

Amounts falling due within one year:	**24 Dec 2011 £000**	25 Dec 2010 £000
Trade debtors	**272**	224
Amounts owed by parent and fellow subsidiary undertakings	**653,181**	551,208
Other debtors	**73**	33
Deferred tax asset (note 13)	**5,051**	9,457
Prepayments and accrued income	**1,355**	2,672
VAT	**1,219**	951
Corporation tax	**-**	1,374
	661,151	565,919

11. CREDITORS

Amounts falling due within one year:	**24 Dec 2011 £000**	25 Dec 2010 £000
Trade creditors	**2,909**	2,487
Amounts owed to parent and fellow subsidiary undertakings	**725,245**	628,569
Other taxes and social security	**414**	383
Other creditors	**151**	283
Corporation tax	**95**	-
Accruals	**10,440**	11,587
	739,254	643,309

12. PROVISIONS FOR LIABILITIES AND CHARGES

	Property Provision £000
At 25 December 2010	15,691
Utilisation	(6,482)
Additional provision	4,517
At 24 December 2011	**13,726**

The property provision mainly covers onerous leases For any such leases, the Company provides for any shortfall between rent payable and rent receivable on any non-trading leased properties The provision is based on the period until the end of the lease, or until the Company can cover the shortfall by subletting, assigning or surrendering the lease None of the provisions are short term The property provision also includes amounts for any related shortfalls in business rates on these properties, and for dilapidations

13. DEFERRED TAXATION

Analysis of deferred tax balances	24 Dec 2011 £000	25 Dec 2010 £000
Accelerated capital allowances	**2,453**	3,206
Short term timing differences	**2,598**	6,251
Total	**5,051**	9,457

The deferred taxation asset comprises

	£000
Provision at the start of the period	**9,457**
Charged during the period	**(779)**
Change of rate*	**(404)**
Adjustment in respect of prior periods	**(3,223)**
Provision at the end of the period	**5,051**

*On 19th July 2011 the House of Commons approved the Finance Bill which reduces the UK Standard rate of Corporation tax from 28% to 26% with effect from 1st April 2011 and 25% from 1 April 2012 All deferred assets and liabilities have been recognised at 25%

There are potential deferred tax assets in relation to trading losses totalling £7 7m (2010 £8 4m) It is not considered probable that future taxable profits will be available against which the unused tax losses can be utilised These losses may be carried forward indefinitely

14. AUTHORISED AND ISSUED SHARE CAPITAL

	24 Dec 2011 £000	25 Dec 2010 £000
12,500,000 authorised ordinary shares of £1 each	**12,500**	12,500
12,357,978 allotted issued and fully paid ordinary shares of £1 each	**12,358**	12,358

15. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' DEFICIT

Movements during the period were as follows

	Share Capital	Profit and Loss Reserve	Capital Contribution Reserve	Share-based payment reserve	Shareholders' Deficit
	£'000	£'000	£'000	£'000	£'000
As at 25 December 2010	12,358	(338,925)	280,315	14,560	(31,692)
Loss for the period	-	(4,694)	-	-	(4,694)
Share based payments	-	-	-	1,172	1,172
As at 24 December 2011	**12,358**	**(343,619)**	**280,315**	**15,732**	**(35,214)**

The Capital Contribution Reserve is distributable

16. FINANCIAL COMMITMENTS

The annual commitments under non-cancellable operating leases were as set out below

	24 Dec 2011		25 Dec 2010	
Operating leases which expire	Property £000	Plant and Machinery £000	Property £000	Plant and Machinery £000
Within one year	-	-	-	10
Between two and five years	1,338	28	1,640	131
Over five years	8,702	88	8,988	-
	10,040	116	10,628	141

17. PENSIONS

i) Defined contribution pensions
The Howden Joinery Group Plc operates a defined contribution scheme for its employees The Company's pension charge for the current year for the defined contribution pension scheme was £17,747 (2010 £66,000) There were no outstanding contributions at the year end *(2010 nil)*

ii) Defined benefit pensions
The Company participates in the Howden Joinery Group Plc group retirement benefit plan This is a defined benefit multi-employer arrangement, which operates through a funded pension scheme which provides benefits based on the final pensionable pay of participating employees The assets of the scheme are held separately from those of the Group, being invested with independent fund managers The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme This is the prescribed treatment in FRS 17 "Retirement Benefits"

Further information about the Howden Joinery Group Plc defined-benefit retirement benefit schemes are available in the Howden Joinery Group Plc statutory accounts The most completed recent actuarial valuation was carried out at 5 April 2008 by the scheme actuary At the current period end, the triennial actuarial valuation as at 5 April 2011 was in progress, but not completed The actuary advising the Group has subsequently rolled forward the preliminary results of the 5 April 2011 valuation to 24 December 2011, and has restated the results onto a basis consistent with market conditions at that date This exercise showed a scheme deficit at 24 December 2011 of £136 9m (2010 £135 7m), before netting off the associated deferred tax asset The roll-forward was done according to the requirements of International Accounting Standard 19 "Employee Benefits" ("IAS 19", under which the Howden Joinery Group reports its results), rather than FRS 17 (under which this Company reports its results) However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19 Further details are given in the consolidated financial statements of Howden Joinery Group Plc

The Company's defined benefit pension charge for the year was £15 8m *(2010 £11 6m)* There are no outstanding contributions at the year end *(2010 nil)*

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 "Employee Benefits" The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17 It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Howden Joinery Group Plc

18. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's parent company is Howden Joinery Holdings Ltd and the ultimate parent company and controlling entity is Howden Joinery Group Plc , both incorporated in Great Britain and registered in England and Wales

The largest and smallest group in which the results of the Company are consolidated is that headed by Howden Joinery Group Plc The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions with other group entities within the Howden Joinery Group Plc Group, on the grounds that it is a wholly owned subsidiary

19. SHARE BASED PAYMENTS

1) Details of each scheme

The Company recognised a charge of £1 3m (2010 £0 4m) in respect of share-based payments during the period The Group has various share-based payment schemes, which are all equity-settled The main details of all schemes which existed during the period are given below

a) Performance Share Plan

This is a discretionary free share plan where participants have a contingent right to receive free shares with performance conditions attached

The performance period is measured from the start of the financial period in which the awards are granted The performance period is three years Vesting occurs at the end of the performance period The different subdivisions and performance conditions are as follows

i) 25% of the award will vest if 2010 PBT of £110 million is achieved 100% will vest if 2010 PBT of £135 million is achieved The awards will vest on a sliding scale between these two points

b) (i) Deferred Bonus Plan - 2010 –restricted share award

The shares are held in trust and participants are entitled to dividends during the deferral period A participant can remove the shares from the Trust at any time but as they would no longer be pledged as Invested Shares under the Co-Investment Plan, then unless replaced, the participant would forego the resulting match

c) Co-Investment Plan

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan

(i) (A) 2007 award: PBT targets. At the end of a three year performance period, each invested share will be matched by an award of up to three matching shares if 2010 PBT of £135m is achieved, 25 percent of the maximum match (i e 0 75 1) will be earned for achieving 2010 PBT of £110 million and the awards will vest on a sliding scale between these two points

(ii) (A) 2007 award: TSR target. A further match of up to two shares will be made for achieving upper quartile Total Shareholder Return (TSR), measured against the FTSE 250 Index (excluding investment trusts)

(iii) 2011 award. 25% of the award will vest if PBT growth at the end of the 2013 financial year is at a rate of 6% p a , based on the December 2010 accounts 100% of the award will vest if PBT growth on the same basis is 12% p a or above

19. SHARE BASED PAYMENTS (continued)

d) Executive Share Options (continued)
This is a discretionary share option plan These options are granted with an exercise price equal to market value

The vesting period is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) In the information below, these options have been further subdivided according to their different performance conditions, in order to give more meaningful information The different subdivisions and performance conditions are as follows

i) 40% vesting if EPS growth equals RPI+40%, rising to 100% vesting for EPS growth of RPI+100%

ii) 50% vesting if there is EPS growth of 60% over the performance period, and 100% vesting if there is EPS growth of 120% over the performance period

iii) EPS growth must equal RPI + 9% If this is achieved there will be full vesting If this is not achieved there will be no vesting

iv) Full vesting will occur if the Group's cumulative profit before tax is at least £90m over the three financial years ending December 2009, 2010, and 2011 If this is not achieved there will be no vesting

e) Long Term Incentive Plan
This is a discretionary plan under which the Group may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture) Unless otherwise specified all awards have substantially the same terms

(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011

(ii) Market value which vest after a three year period from the date of grant 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period, 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved

(iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment

(iv) 2011 Grant - 25% of the award will vest if PBT growth at the end of the 2013 financial year is at a rate of 6% p a , based on the December 2010 accounts 100% of the award will vest if PBT growth on the same basis is 12% p a or above

19. SHARE BASED PAYMENTS (continued)

2) Movements – The following tables show the number and weighted average exercise prices ("WAEP") of each category of options during the period, and movements in each category

a) Performance Share Plan *i) 25% of the award will vest if 2010 PBT of £110 million is achieved. 100% will vest if 2010 PBT of £135 million is achieved. The awards will vest on a sliding scale between these two points.*	52 weeks to 24 December 2011	52 weeks to 24 December 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	195,172	0 00	195,172	0 00
Granted in period	-	N/A	0	N/A
Lapsed in period	(195,172)	-	0	N/A
Exercised in period	-	N/A	0	N/A
In issue at end of period	-	N/A	195,172	0 00
Exercisable at end of period	-	N/A	0	0 00
Number of options in the closing balance that were granted before 7 November 2002	-		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0.25	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

b) Deferred Bonus Plan - Restricted Share Award	52 weeks to 24 December 2011	52 weeks to 24 December 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010
i) 2010 grant	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	321,643	0 00	0	N/A
Granted in period	-	N/A	545,921	0 00
Lapsed in period	-	N/A	0	N/A
Exercised in period	(321,643)	-	(224,278)	0 00
In issue at end of period	-	N/A	321,643	0 00
Exercisable at end of period	-		0	N/A
Number of options in the closing balance that were granted before 7 November 2002	-		0	
Weighted average share price for options exercised during the period		1 12		0 80
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0 25	
Weighted average fair value of options granted during the period (£)	N/A		0 79	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.00		0 00	
- to	0.00		0 00	

19. SHARE BASED PAYMENTS (continued)

c) (i) (A) Executive Co-investment Plan. 2007 award, PBT target	52 weeks to 24 December 2011	52 weeks to 24 December 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	3,510,000	0 00	3,510,000	0 00
Granted in period	-	N/A	-	N/A
Lapsed in period	(3,510,000)	-	-	N/A
Exercised in period	-	N/A	-	N/A
In issue at end of period	-	N/A	3,510,000	0 00
Exercisable at end of period	-		-	N/A
Number of options in the closing balance that were granted before 7 November 2002	-		-	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0 25	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0.00		0 00	

c) (ii) (A) Executive Co-investment Plan 2007 award, TSR target	52 weeks to 24 December 2011	52 weeks to 24 December 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	2,340,000	0 00	2,340,000	0 00
Granted in period	-	N/A	-	N/A
Lapsed in period	(2,340,000)	-	-	N/A
Exercised in period	-	N/A	-	N/A
In issue at end of period	-	N/A	2,340,000	0 00
Exercisable at end of period	-	N/A	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	-		-	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0 25	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

19. SHARE BASED PAYMENTS (continued)

c) (iii) Co-investment Plan· 2011 award. 25% of the award will vest if 6% growth in PBT is achieved, 100% will vest if 12% PBT growth is achieved.

	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)
In issue at beginning of period	-	0 00
Granted in period	2,462,267	-
Lapsed in period	-	N/A
Exercised in period	-	N/A
In issue at end of period	2,462,267	0.00
Exercisable at end of period	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	-	
Weighted average share price for options exercised during the period		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2 25	
Weighted average fair value of options granted during the period (£)	1.05	
Range of exercise prices for options outstanding at the period end (£)		
- from	N/A	
- to	N/A	

d) Executive Share Options

i) 40% vesting if EPS growth = RPI+40% rising to 100% vesting if EPS growth = RPI+100%

	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)
In issue at beginning of period	586,344	1.07	678,992	1 07
Granted in period	-	N/A	0	N/A
Lapsed in period	-	N/A	(92,648)	1 07
Exercised in period	-	N/A	0	N/A
In issue at end of period	586,344	1 07	586,344	1 07
Exercisable at end of period	586,344	1 07	586,344	1 07
Number of options in the closing balance that were granted before 7 November 2002	-		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		N/A	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1 07		1 07	
- to	1 07		1.07	

19. SHARE BASED PAYMENTS (continued)

d) Executive Share Options	52 weeks to 24 December 2011	52 weeks to 24 December 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010
ii) 50% vesting if EPS growth is 60% and 100% vesting if EPS is 120%	**Number**	**WAEP (£)**	**Number**	**WAEP (£)**
In issue at beginning of period	791,583	1.25	1,065,651	1 27
Granted in period	-	N/A	0	N/A
Lapsed in period	(791,583)	1 25	(274,068)	1 27
Exercised in period	-	N/A	0	N/A
In issue at end of period	-	N/A	791,583	1.25
Exercisable at end of period	-	N/A	791,583	1.25
Number of options in the closing balance that were granted before 7 November 2002	-	N/A	791,583	1 25
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		1 25	
- to	N/A		1 25	

d) Executive Share Options	52 weeks to 24 December 2011	52 weeks to 24 December 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010
iii) Full vesting if EPS increases by RPI + 9%	**Number**	**WAEP (£)**	**Number**	**WAEP (£)**
In issue at beginning of period	47,867	1 03	153,226	0.94
Granted in period	-	N/A	4,641	0 63
Lapsed in period	-	N/A	(40,000)	0 63
Exercised in period	(47,867)	1.03	(70,000)	0 63
In issue at end of period	-	N/A	47,867	1 03
Exercisable at end of period	-		47,867	1 03
Number of options in the closing balance that were granted before 7 November 2002	-		42,867	
Weighted average share price for options exercised during the period		N/A		0.73
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		N/A	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1 00		1 00	
- to	1 06		1 03	

19. SHARE BASED PAYMENTS (continued)

d) Executive Share Options	52 weeks to 24 December 2011	52 weeks to 24 December 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010
iv) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	9,557,430	0.38	9,557,430	0 38
Granted in period	-	N/A	0	N/A
Lapsed in period	-	N/A	0	N/A
Exercised in period	-	N/A	0	N/A
In issue at end of period	9,557,430		9,557,430	0 38
Exercisable at end of period	-	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	-		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.25		1 33	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.25		0.25	
- to	0.50		0.50	

e) Long Term Incentive Plan - Options	52 weeks to 24 December 2011	52 weeks to 24 December 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010
i) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	1,398,622	0.37	1,448,622	0 37
Granted in period	70,000	0.37	(50,000)	0 37
Lapsed in period	-	N/A	0	N/A
Exercised in period	-	N/A	0	N/A
In issue at end of period	1,468,622	0 37	1,398,622	0 37
Exercisable at end of period			0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 50		1 33	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 37		0 25	
- to	0 37		0.50	

19. SHARE BASED PAYMENTS (continued)

e) Long Term Incentive Plan - Options *ii) 2012 PBT increase by between RPI and RPI + 8%*	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)
In issue at beginning of period	2,699,379	0.81	-	N/A
Granted in period	11,152	-	2,699,379	0 81
Lapsed in period	-	N/A	-	N/A
Exercised in period	-	N/A	-	N/A
In issue at end of period	2,710,531	0 81	2,699,379	0.81
Exercisable at end of period	-	N/A	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	-		-	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	1 25		2 33	
Weighted average fair value of options granted during the period (£)			0 44	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.81		0 81	
- to	0.81		0 81	

e) Long Term Incentive Plan - Options *iii) Conditional Share Award - subject to continuing employment*	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)
In issue at beginning of period	1,200	0 00	-	N/A
Granted in period	1,200	-	1,200	0 00
Lapsed in period	(300)	-	-	0 00
Exercised in period	-	N/A	-	0 00
In issue at end of period	2,100	0 00	1,200	0 00
Exercisable at end of period	-	N/A	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	-		-	
Weighted average share price for options exercised during the period		109 17		N/A
the period end (years)	1.75		2 33	
Weighted average fair value of options granted during the period (£)	1.05		0 81	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0.00	
- to	0 00		0.00	

19. SHARE BASED PAYMENTS (continued)

e) Long Term Incentive Plan - Options *(iv) 2013 LTIP - PBT to increase by between 6% - 12%*	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)
In issue at beginning of period		
Granted in period	150,961	1.09
Lapsed in period	-	N/A
Exercised in period	-	N/A
In issue at end of period	150,961	1 09
Exercisable at end of period		
Number of options in the closing balance that were granted before 7 November 2002	-	
Weighted average share price for options exercised during the period		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2 25	
Weighted average fair value of options granted during the period (£)	0 53	
Range of exercise prices for options outstanding at the period end (£)		
- from	1.09	
- to	1.09	

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model The key assumptions used in the models were

Scheme	52 weeks to 24 December 2011	52 weeks to 25 December 2010
Dividend yield (%)	1.5	-
Expected share price volatility (%)	54.0	50 to 52
Historical volatility (%)	54 0	50 to 52
Risk-free interest rate (%)	3 0	2.79 to 3.18
Expected life of options (years)	4 8	6 4 to 6 5